

SQUARE POS AUDIT

Findings & Pre-Season Assessment | Final Report

SCOPE: Full Square account, all 14 locations

Executive summary

Square is doing its job at the till. Staff sell from the catalog (15 custom-amount sales in 41,226 transactions), every market has its own Square location, refunds are negligible (0.24%), and the sales data is clean enough to analyse in depth. This report includes the first full breakdown of the 2025 season: **41,226 transactions, \$2.92M net sales, 57,080 units, across 14 markets.**

The gap is structural: **Square holds no inventory data at all**, not a single stock transaction has ever been recorded at any location, and the catalog records colour for almost nothing that matters. Only **4.8% of season revenue** was sold through a colour-named variation. Scarves, the #1 category at \$860,483 (29% of the business), sell as flat items with no colour recorded, while the warehouse tracks colour on nearly every unit. The information a restock decision needs exists in two systems that do not connect.

The findings below give the concrete pre-season cleanup list, quantify exactly where colour-level visibility pays for itself, and confirm the Phase 2 scope. Verdict on the September 18 market is in Section 7.

Headline findings

#	Finding	Severity	Section
1	Inventory tracking has never been used, at any location; Square has zero stock data	Critical	2.1
2	95.2% of revenue records no colour; the #1 category (Scarves, \$860k) is fully colour-blind	Critical	2.2
3	One shared login ("Booth Manager") collected 81% of all sales; 46 devices incl. personal phones	High	2.3
4	Write-offs are rung through the POS as 100% discounts (74 times last season)	Medium	2.4
5	No SKUs, barcodes, or unit costs anywhere; no join key between Square and the warehouse	Medium	2.5
6	Catalog enablement, pricing, and discounts vary by location without a documented convention	Medium	2.6

1. Scope, method, and evidence

This audit reviewed the Winterborn Alpaca Square account across locations, inventory settings, catalog structure, staff and device usage, discounts, pricing, sales data, and connected channels, and cross-referenced the Square catalog against the Sortly warehouse export (564 items, ~42,428 units).

Evidence base: full Dashboard walkthrough with screenshots across multiple locations; Sortly CSV export; and complete Square exports for 1 Nov 2025 to 1 Jan 2026 (transactions, item detail, item summary) totalling 41,226 transactions and 52,278 sold item lines across all 14 locations.

Two questions determine how any inventory solution must be built, and both are verified: (1) per-location stock tracking is not enabled anywhere; it has never been used (Section 2.1); (2) the account runs a single shared catalog with per-location availability flags and per-location price overrides, not duplicated catalogs, so catalog fixes are made once and apply everywhere.

2. Findings

2.1 Inventory tracking has never been used (Critical)

Every variation checked shows the “Available” sellable flag rather than a stock count, with tracking unset and low-stock alerts unconfigured; multi-location inventory panels confirm the same picture at Carmel, Baltimore, Washington DC, Philadelphia and Chicago (Wrigley). The inventory module confirms it at account level: Stock Overview is empty, Inventory History reports no stock transactions, Stock Counts has never been used, and Pending Restocks is empty. The season exports agree: zero stock movements behind 41,226 sales.

Implication: Square cannot answer “what is in stock, where”, for anyone. All quantity truth lives in Sortly (42,428 units), which has no connection to Square. When the restock decision-maker left, this is the gap their judgment was papering over. Who performs that monitoring role this season, and with what data in front of them, is an operating decision that sits alongside the Phase 2 build; the colour-level catalog work in 2.2 is what makes the role performable from data rather than memory.

Recommendation

Do not attempt manual dual-entry stock counts before the season. With 14 markets and 41,000+ transactions it will not survive contact with a market weekend. Inventory truth should live in the restock workflow tool (Phase 2), which writes receives into Square per location. Square-side tracking can then be enabled progressively, location by location, once write-backs are flowing.

2.2 Colour-level demand is invisible where it matters most (Critical)

Only \$140,258 of \$2,919,689 in item-level season revenue, 4.8%, was sold through a **colour-named variation**. Where colour variations exist, Square records colour-level sales perfectly; the beanie line proves it. Where they don't, the biggest categories in the business are flying blind:

Category	Units	Net sales (share)	Colour recorded at sale?
Scarves	12,768	\$860,483 (29%)	No. Flat items, no variations.
Mittens	15,012	\$641,360 (22%)	No. Style variations only.
Footwear (socks)	14,072	\$466,489 (16%)	No. Size variations only.
Headwear	7,358	\$427,489 (15%)	Partially. Colour variations on part of the range.
Toys	5,206	\$278,233 (10%)	No. Size variations only.
Garments	1,847	\$224,549 (8%)	No. Flat items.

This is the “red scarves selling, white sitting” problem, quantified: Scarf (Stripes) alone took \$290,329 across 4,490 units on a single flat price point, and which stripes sold is unrecoverable. The warehouse tracks 26 colour variants of that one product. **Restructuring Scarves first, then Mittens, Socks, Toys and Garments to colour-level variations before the season is the single highest-value catalog change available**, and it is what makes demand reporting possible at all.

2.3 Attribution: shared logins and personal devices (High)

- A shared “**Booth Manager**” account collected 33,383 of 41,226 transactions (81%). Individual attribution (who sold what, shrinkage accountability, performance by staffer) is impossible for four-fifths of the business.
- The named-login alternative already works in practice: one staffer processed 7,376 transactions on a personal named login at full market pace. Extending this is policy, not new capability.
- 46 distinct devices processed sales, including at least 8 personal iPhones. Device sprawl is a control and PCI-hygiene concern, and unnamed devices make mid-season troubleshooting harder.
- A generic “Operations Coordinator” account also exists, and whether the departed restock decision-maker still holds active credentials should be checked and revoked if so.

Recommendation

Named logins (or at minimum per-person passcodes on shared devices) before the season; a device inventory with named, registered devices only; and a 30-minute joint permissions review with the owner.

2.4 Write-offs run through the till as 100% discounts (Medium)

A “100% Discount: Gifted / Destroyed” was used 74 times last season across 11 markets (heaviest at Boston, 18 uses), at times stacked with other discounts. It is a rational workaround for a no-inventory system, but it pollutes units-sold figures with 74 non-sales, and once inventory tracking exists it will corrupt stock accuracy. Phase 2 should include a proper write-off flow (damage / gift / sample reasons), after which this discount is retired.

2.5 Catalog and data hygiene (Medium)

- No SKUs or GTINs anywhere: the SKU field is empty on 100% of 52,278 sold item lines and on all 74 catalog rows, in Square and in Sortly alike. Item names are the only join key between systems, and barcode workflows at receiving are impossible.
- Unit costs are \$0.00 everywhere, so Square can report revenue but never margin. Sortly values are equally blank.
- Low-stock alerts unset everywhere (expected with tracking off, part of the same gap).
- Empty “Plushies” category while the products live under Toys as “Stuffies”; Sortly names the same folder tree differently. Three dead catalog entries (sold out, enabled at no locations) should be archived.
- Minor: Earmuffs price ranges inconsistent across colour variations; 15 “Custom Amount” sales bypassed the catalog.

2.6 Per-location configuration without a convention (Medium)

- **Catalog enablement varies per item** (2, 7, 12, 13, or all of the 14 locations) with no documented rule for what should be where.
- **Per-location price overrides are live** (e.g. Cape \$165 to \$177, Wrap \$110 to \$118 depending on market). Legitimate as market pricing, but undocumented; any tool that writes to Square must respect it.
- **Discounts are configured per location**, and the sets differ (a “Stuffies PM” discount exists at some markets only). A full per-market discount inventory belongs in the cleanup.
- **Carmel runs a market-specific branded line** ([Fraas] scarves and accessories, \$10,192 season net, sold nowhere else) with its own naming convention. Branded subsets are fine; they should be folded into the SKU scheme deliberately.

3. The 2025 season, by the numbers

TRANSACTIONS	NET SALES	UNITS SOLD	COLLECTED (INCL. TAX)
41,226	\$2,923,110	57,080	\$3,134,205

The season alone exceeds the working figures the business uses for itself (35,000+ transactions; \$2.5M annual sales). The business is larger than its own numbers.

Net sales by market

#	Market	Tx	Net sales	Share
1	Chicago (Daley Plaza)	5,667	\$416,445	14.2%
2	Denver	4,307	\$313,450	10.7%
3	Washington DC	3,649	\$265,886	9.1%
4	Atlanta	3,365	\$248,684	8.5%
5	Chicago (Wrigley)	3,420	\$238,788	8.2%
6	Boston (Snowport)	3,562	\$230,145	7.9%
7	Cullman, AL	3,046	\$222,694	7.6%
8	Carmel	2,841	\$198,840	6.8%
9	Grand Rapids	2,841	\$192,414	6.6%
10	Philadelphia	2,776	\$190,472	6.5%
11	Aurora	1,903	\$136,025	4.7%
12	Seattle	1,827	\$128,087	4.4%
13	Savannah, GA	1,277	\$90,737	3.1%
14	Baltimore	745	\$50,444	1.7%

- The top two markets are 25% of the business; the top five are just over half. No market is decorative: even Baltimore's \$50k justifies stocked-right shelves.
- Season windows differ by market: Boston opened earliest (Nov 7); most markets opened Nov 19 to 23; Chicago (Wrigley) and Savannah traded until Dec 31, Cullman until Dec 28, while Denver and Washington DC closed Dec 24. Restock support has to run on per-market calendars, not one season clock.

When the money arrives

Day	Transactions	Collected (incl. tax)	Note
Sunday	10,907	\$835,237	26.6% of takings. Top days: Dec 21 (\$208k), Dec 7 (\$200k), Dec 14 (\$181k), all Sundays.
Saturday	8,986	\$690,707	Weekend combined: 48.7% of the season.
Monday	6,366	\$478,366	
Tue to Fri	14,967	\$1,129,895	Thursday is the weakest day account-wide.

Operational consequence: the week's stock position is decided by Friday. A restock rhythm that reviews sales Monday and lands stock by Friday dispatch fits all 14 markets, and it is the cadence the Phase 2 tool should be designed around.

What sold

Item / variation (top 8)	Category	Units	Net sales	Colour?
Scarf (Stripes), Regular	Scarves	4,490	\$290,329	No
Scarf (Plaids), Regular	Scarves	4,163	\$268,245	No
Mittens (Flip Mitts), Solid Color	Mittens	4,974	\$197,200	No
Mittens (Flip Mitts), Patterned	Mittens	4,467	\$177,146	No
Beanie (Std Reversible Knit), Solid	Headwear	3,032	\$171,192	Partial
Mittens (Full w/ Fleece), Patterned	Mittens	2,785	\$138,597	No
Stuffedies, Large	Toys	1,922	\$136,843	No
Socks (Sport), Medium	Footwear	3,695	\$127,998	No

- Market taste is remarkably uniform: Scarf (Stripes) or Scarf (Plaids) is the #1 item at 13 of 14 markets (Denver, mittens-led, is the sole exception). One catalog structure serves every market; assortment differences are a quantity question, not a range question.
- Scarves' share of a market's revenue runs from 18% (Denver) to 35% (Washington DC): exactly the kind of per-market signal a restock tool should surface weekly.

4. Sortly ↔ Square cross-reference

The two systems hold complementary halves of the truth: Square has prices and sales but no quantities; Sortly has quantities and colour detail but no prices or sales. Category-level mapping, with season revenue attached:

Category	Sortly (warehouse)	Square (POS)	Season net	Gap
Scarves	8 groups, ~103 variants, 7,569 u	14 flat items, no variations	\$860,483	Colour lost
Mittens	2 groups, 34 variants, 5,790 u	2 items, style variations only	\$641,360	Colour lost
Footwear	18 groups, 12,670 u	Size variations only	\$466,489	Colour lost
Headwear	7 groups, 2,892 u	Colour variations ✓	\$427,489	Aligned; the model to copy
Toys	3 groups, 4,809 u	Size variations; “Stuffies” vs empty “Plushies”	\$278,233	Style lost; naming drift
Garments	5 groups, 1,531 u	Flat items	\$224,549	Colour lost
Miscellaneous	8 groups, 862 u	4 items	\$20,423	Partial coverage
Supplies (bags)	6,305 u	Not in Square	n/a	Correct, non-sale stock

- No shared identifier exists: SKU/GTIN blank in Square, barcode fields blank in Sortly. Any sync starts by assigning SKUs once, in the tool, and pushing them to both.
- Sortly data quality: 96 of 564 items sit at zero quantity (candidates for archiving); only 41 items have min levels set; prices/values almost entirely blank.

5. What is working, leave alone

- Per-market Square locations exist for all 14 markets and are used correctly: every one of 41,226 transactions is location-tagged from Point of Sale. Nothing needs rebuilding.
- POS discipline is excellent: 15 custom-amount sales and 100 refunds in 41,226 transactions is as clean as multi-location seasonal retail gets.
- Zero archived-item clutter; 8 sane reporting categories; a standardized core discount set.
- The beanie line is internal proof that colour variations work operationally at the till, and one staffer already runs a named login at full market pace. Both recommended changes extend existing behaviour rather than introduce new behaviour.

- Suppliers are partially set up (4 records incl. Mikaleb Peru Exports, Millma & Qaytu, Top Handicraft): a foundation to complete, not create.

6. Pre-season cleanup checklist

Pri	Action	Owner
P1	Restructure Scarves first, then Mittens, Socks, Stuffies, Capes/Wraps to colour-level variations (bulk import, mapped from Sortly attributes)	Osama
P1	Assign SKUs across catalog, folding the [Fraas] naming into the scheme (generated once, pushed to Square + Sortly)	Osama
P1	Joint 30-min permissions review; revoke departed staff; check the generic accounts	Joel + Osama
P2	Named logins / per-person passcodes; register or retire the 8+ personal iPhones; named devices only	Joel + Osama
P2	Archive the three dead catalog entries; delete empty Plushies category; align category names with Sortly folders; fix Earmuffs price inconsistencies	Osama
P2	Compile a per-market discount inventory and document per-location price overrides	Osama
P2	Archive the 96 zero-quantity Sortly items; set min levels on A-items	Osama + warehouse
P3	Populate unit costs for margin reporting (from supplier invoices)	Joel's bookkeeper
P3	Retire the 100% Gifted/Destroyed discount once the Phase 2 write-off flow exists	Osama

Note on scope: the P1 catalog restructuring and SKU assignment are additional to the Phase 2 build scope. Phase 2 will be re-costed to include them so the figure approved covers the full pre-season scope.

7. Phase 2 scope confirmation & the September 18 market

The audit confirms the Phase 2 design: a restock workflow tool that owns request → coordinate → fulfil and writes receives into Square per location, with four requirements the findings make explicit:

- **Colour-level catalog restructuring is a Phase 2 prerequisite**, with Scarves first (29% of revenue): the write-back and the demand history are only as granular as the catalog. Staff already pick colours on part of the range, so this extends an established habit rather than teaching a new one.
- A write-off flow (damage/gift/sample) is added to v1 scope, closing finding 2.4.

- The tool must respect per-location price overrides when touching the catalog, and per-market season calendars when scheduling restock cycles.
- Per-location write-back is confirmed viable: 14 locations, used correctly at the till, every sale location-tagged.

September 18 verdict

Use it as a live observation and data-collection run, not a v1 launch. A build starting late August reaches testable-with-real-catalog by early October; compressing that to hit Sept 18 would spend the scope-freeze and testing weeks the November season depends on. The early market is more valuable as-is: it produces fresh location-tagged sales data under the restructured catalog, a live baseline of how the restock loop runs today, and a training run for whoever operates the restock process this season before the November volume arrives.

8. Open items

#	Item	Unlocks
1	Working session on how restock decisions were made historically (frequency, triggers, who requested vs. who approved), plus anyone making interim calls today	Process map: ratifies the Phase 2 workflow states and captures what remains of the departed decision-maker's process
2	15-20 minutes with the warehouse lead	Fulfilment reality-check: picking, dispatch days, how Sortly is actually updated

Everything else in this report is complete and evidence-backed across all 14 locations.